

Procurement and Vendor Management Policy

Document ID: POL-PVM-003

Version: 4.1

Effective Date: February 1, 2025

Last Reviewed: January 25, 2025

Approved By: Chief Financial Officer, Chief Operating Officer

Classification: Internal - Mandatory Compliance

1. Purpose and Scope

1.1 Purpose

This policy establishes the standards and procedures for the procurement of goods and services and the management of vendor relationships at Meridian Holdings Group ("the Company"). The policy ensures that procurement activities are conducted in a manner that is transparent, competitive, ethical, and in the best interest of the Company while maintaining compliance with applicable laws and regulations.

1.2 Scope

This policy applies to:

- All procurement of goods, services, and works by the Company and its subsidiaries
- All departments and business units initiating or managing procurement activities
- All employees involved in the procurement process, including budget holders, requisitioners, and approvers
- All vendors, suppliers, contractors, and service providers engaged by the Company
- Both direct and indirect procurement activities

1.3 Definitions

- Vendor: Any external entity that provides goods, services, or works to the Company.
 - Preferred Vendor: A vendor that has been pre-qualified and approved for specific categories of goods or services.
 - Sole Source: A procurement where only one vendor is capable of providing the required goods or services.
 - Purchase Order (PO): A formal document issued by the Company to a vendor, indicating the types, quantities, and agreed prices for goods or services.
 - Statement of Work (SOW): A document that defines the scope, deliverables, timeline, and terms of a service engagement.
 - Service Level Agreement (SLA): A commitment between the Company and a vendor defining the level of service expected.
-

2. Procurement Principles

2.1 Value for Money

All procurement decisions must demonstrate value for money, considering not only price but also quality, reliability, total cost of ownership, sustainability, and risk. The lowest-price option is not necessarily the best-value option.

2.2 Competition

Procurement must be conducted through competitive processes to ensure fair pricing and prevent favoritism. The following competitive requirements apply based on contract value:

Contract Value (Annual)	Minimum Requirement
Up to \$10,000	Single quotation with documented justification
\$10,001 - \$50,000	Minimum 3 written quotations
\$50,001 - \$250,000	Formal Request for Proposal (RFP) with minimum 3 bidders
\$250,001 - \$1,000,000	Formal RFP with minimum 5 bidders and evaluation committee
Over \$1,000,000	Formal RFP with minimum 5 bidders, evaluation committee, and Board approval

2.3 Sole Source Justification

Sole source procurement is permitted only in exceptional circumstances and requires written justification approved by the Procurement Director and CFO. Acceptable justifications include:

- a) Only one vendor possesses the unique capability, expertise, or intellectual property required
- b) Compatibility with existing systems or equipment that cannot be reasonably modified
- c) Genuine emergency that does not permit time for competitive procurement (limited to 90 days)
- d) Follow-on work where changing vendors would result in significant duplication of costs

Sole source justifications must be documented and filed with the Procurement Department. The Procurement Director must review all sole source arrangements annually.

2.4 Ethical Conduct

All procurement activities must be conducted with the highest standards of ethical behavior:

- a) No employee may participate in a procurement decision where they have a personal or financial interest
- b) Confidential information received during procurement processes must not be disclosed to unauthorized parties
- c) All vendors must be treated fairly and equitably throughout the procurement process
- d) Employees must comply with the Company's Anti-Bribery and Anti-Corruption Policy (POL-ABC-002) in all vendor interactions

3. Vendor Qualification and Selection

3.1 Vendor Registration

All vendors must be registered in the Company's Vendor Management System before any purchase order or contract is issued. Registration requires:

- a) Complete company information (legal name, registration number, address, ownership structure)
- b) Tax identification and registration documents
- c) Banking information for payment purposes
- d) Insurance certificates as required (see Section 3.3)
- e) Compliance certifications and declarations
- f) References from at least three other clients

3.2 Vendor Assessment Criteria

Vendors are assessed and scored on the following criteria:

- a) Financial Stability (20%): Credit rating, financial statements, going concern assessment
- b) Technical Capability (25%): Relevant experience, qualifications, certifications, infrastructure
- c) Quality Management (15%): Quality certifications (ISO 9001), quality control processes, defect rates
- d) Compliance (15%): Regulatory compliance, anti-bribery certifications, data protection capabilities
- e) Sustainability (10%): Environmental certifications, sustainability practices, carbon footprint
- f) Price Competitiveness (15%): Total cost of ownership, payment terms, volume discounts

3.3 Insurance Requirements

All vendors providing services on Company premises or handling Company assets must maintain:

- a) Commercial General Liability insurance: Minimum \$2,000,000 per occurrence
- b) Professional Liability / Errors & Omissions: Minimum \$1,000,000 per claim
- c) Workers' Compensation: As required by applicable law
- d) Cyber Liability insurance: Minimum \$5,000,000 (for vendors handling Company data)
- e) Commercial Auto Liability: Minimum \$1,000,000 (where applicable)

Insurance certificates must be provided annually and must name the Company as an additional insured.

4. Contract Management

4.1 Contract Requirements

All vendor engagements exceeding \$10,000 in total value must be governed by a written contract. Contracts must include:

- a) Clear scope of goods or services to be provided
- b) Pricing, payment terms, and invoicing requirements
- c) Delivery schedules or service levels
- d) Quality standards and acceptance criteria
- e) Warranties and representations
- f) Intellectual property rights and ownership
- g) Confidentiality and data protection obligations
- h) Insurance requirements
- i) Indemnification provisions
- j) Limitation of liability
- k) Termination provisions (see Section 4.3)
- l) Dispute resolution mechanisms
- m) Compliance with Company policies including Anti-Bribery (POL-ABC-002) and Data Protection (POL-DP-001)
- n) Right to audit
- o) Force majeure provisions

4.2 Payment Terms

Standard payment terms are Net 45 days from receipt of a valid invoice. Deviations from standard payment terms require approval as follows:

Payment Terms	Approval Required
Net 30 days	Procurement Manager
Net 15 days or less	Procurement Director and CFO
Advance payment (any amount)	CFO and General Counsel
Milestone-based payments	Procurement Director

Advance payments exceeding 20% of total contract value are prohibited without Board approval. All invoices must reference a valid purchase order number and be matched against received goods or completed services before payment.

4.3 Contract Duration and Termination

- a) Initial contract terms should not exceed 3 years without approval from the Procurement Director
- b) Automatic renewal clauses are permitted only with a maximum of 2 renewal periods of 1 year each and must include a termination for convenience clause

- c) Termination for convenience must require no more than 90 days written notice
- d) Termination for cause must be available immediately upon material breach with a 30-day cure period for non-material breaches
- e) All contracts must include transition assistance obligations of at least 90 days following termination

4.4 Contract Approval Authority

Contract Value (Total)	Approval Authority
Up to \$25,000	Department Manager
\$25,001 - \$100,000	Department Director and Procurement Manager
\$100,001 - \$500,000	VP and Procurement Director
\$500,001 - \$2,000,000	CFO
Over \$2,000,000	CEO and Board of Directors

5. Vendor Performance Management

5.1 Performance Monitoring

All vendors with contracts exceeding \$50,000 annually must be subject to regular performance monitoring. Performance reviews must be conducted:

- Monthly: For critical service providers
- Quarterly: For significant vendors (\$50,000 - \$500,000)
- Semi-Annually: For all other monitored vendors

5.2 Key Performance Indicators

Vendor performance must be measured against defined KPIs including:

- a) Delivery Performance: On-time delivery rate (target: 95% minimum)
- b) Quality Performance: Defect/error rate, compliance with specifications
- c) Responsiveness: Response time to inquiries and issues
- d) SLA Compliance: Achievement of agreed service levels (target: 99.5% for critical services)
- e) Invoice Accuracy: Percentage of invoices requiring correction
- f) Safety Performance: Incident rate for on-site vendors

5.3 Vendor Scorecard

A formal vendor scorecard must be maintained for all monitored vendors. The scorecard must be shared with the vendor during performance review meetings. Vendors consistently scoring below 70% over two consecutive review periods must be

placed on a Performance Improvement Plan or replaced.

5.4 Vendor Escalation

Performance issues must be escalated according to the following hierarchy:

- Level 1: Operational contact at vendor -> Company's contract manager
 - Level 2: Vendor account manager -> Company's department director
 - Level 3: Vendor senior management -> Company's VP or Procurement Director
 - Level 4: Vendor executive -> Company's CFO (contract termination consideration)
-

6. Vendor Risk Management

6.1 Risk Categories

Vendor risks must be assessed across the following categories:

- a) Strategic Risk: Over-dependence on a single vendor, vendor market position
- b) Operational Risk: Service disruption, capacity constraints, quality failures
- c) Financial Risk: Vendor insolvency, pricing volatility, currency exposure
- d) Compliance Risk: Regulatory violations, anti-bribery risks, data protection risks
- e) Reputational Risk: Association with vendors involved in unethical practices
- f) Cybersecurity Risk: Data breaches, system vulnerabilities, access management
- g) Geopolitical Risk: Sanctions exposure, political instability, trade restrictions

6.2 Vendor Concentration

No single vendor should account for more than 30% of total procurement spend in any category without explicit risk acceptance from the CFO. For critical goods and services, at least two qualified alternative vendors must be identified and maintained as backup options.

6.3 Business Continuity

For critical vendors, Business Continuity Plans must be:

- a) Requested and reviewed during vendor qualification
 - b) Tested jointly at least annually
 - c) Updated to reflect changes in vendor operations
 - d) Documented in the Company's own Business Continuity Plan
-

7. Sustainable Procurement

7.1 Environmental Considerations

The Company is committed to sustainable procurement practices. Procurement decisions must consider:

- a) Environmental impact of goods and services over their lifecycle
- b) Vendor environmental certifications (ISO 14001, B Corp, etc.)
- c) Carbon footprint of supply chain activities
- d) Use of recycled or sustainable materials
- e) Energy efficiency of products and services
- f) Waste reduction and circular economy principles

7.2 Social Considerations

Vendors must demonstrate commitment to:

- a) Fair labor practices and human rights
- b) Non-discrimination and equal opportunity
- c) Safe and healthy working conditions
- d) Fair wages and benefits
- e) Prohibition of child labor and forced labor

7.3 Supplier Diversity

The Company encourages supplier diversity and aims to allocate at least 15% of addressable procurement spend to diverse suppliers, including minority-owned, women-owned, veteran-owned, disability-owned, and small businesses.

8. Purchase Order Process

8.1 Requisition

All procurement requests must be initiated through a formal requisition in the Company's procurement system. The requisition must include:

- a) Description of goods or services required
- b) Quantity and specifications
- c) Required delivery date
- d) Budget code and cost center
- e) Justification for the purchase

- f) Suggested vendor (if applicable)

8.2 Approval Workflow

Requisitions must be approved according to the delegation of authority matrix (Section 4.4). The procurement system will automatically route requisitions to the appropriate approvers.

8.3 Purchase Order Issuance

Once approved, the Procurement Department will issue a purchase order to the selected vendor. No goods or services may be ordered without a valid purchase order, except for:

- a) Emergency purchases (must be regularized within 5 business days)
- b) Petty cash purchases under \$500
- c) Recurring utility and telecommunications charges covered by existing contracts

9. Compliance and Enforcement

9.1 Policy Violations

Violations of this policy include but are not limited to:

- a) Splitting purchases to avoid approval thresholds
- b) Engaging vendors without proper registration and vetting
- c) Issuing or accepting goods/services without a valid purchase order
- d) Participating in procurement decisions with undisclosed conflicts of interest
- e) Sharing confidential bid information with unauthorized parties
- f) Accepting gifts or hospitality from vendors in violation of POL-ABC-002

9.2 Consequences

Violations may result in:

- a) Disciplinary action up to and including termination
- b) Financial liability for unauthorized commitments
- c) Reporting to law enforcement where criminal conduct is suspected
- d) Vendor suspension or debarment

9.3 Policy Review

This policy is reviewed annually by the CFO and Procurement Director. Changes must be approved by the CFO and communicated to all relevant stakeholders.

Appendix A: Delegation of Authority Matrix - See separate document POL-PVM-003-A

Appendix B: Vendor Registration Form - See separate document POL-PVM-003-B

Appendix C: RFP Template - See separate document POL-PVM-003-C

Appendix D: Vendor Scorecard Template - See separate document POL-PVM-003-D

Appendix E: Preferred Vendor List - See separate document POL-PVM-003-E